

ONTARIO COURT OF JUSTICE

B E T W E E N :

DOUGLAS HARRIS ZOLDY and JEAN ALDYTHE BELLE ZOLDY,
Applicants,

— AND —

VICTOR CHRISTIAN ZOLDY,
Respondent.

A N D B E T W E E N :

VICTOR CHRISTIAN ZOLDY,
Applicant,

— AND —

MARY-LYNN KELLEY,
Respondent.

Before Justice David F. Kent
Heard on 8-10 August 2006
Reasons for Judgment released on 5 January 2007

SUPPORT ORDERS — Assessment of quantum — Child support guidelines — Definition of “income” — Structured settlement — Payor father had custody of 2 of his 3 children — He held odd assortment of low-paying jobs before deciding to enrol in truck-driving course for duration of which he placed his 2 children into care of their paternal grandparents and entered into written agreement with grandparents whereby he would pay them child support of \$50 per week per child (which, under [Child Support Guidelines](#), would suggest income more than twice what he declared in previous year’s tax return) — In fact, he never made any support payments — Three months later, he suffered catastrophic spinal injury in motor vehicle accident that left him quadriplegic, unemployable and dependent upon motor-driven wheel chair — Experience litigation lawyer secured generous structured settlement for

payor that, on payor's directions, was created as if he had no dependants — Grandparents and mother of third child claimed support for payor — Court noted that some case law made distinction that any portion of structured settlement that addressed non-pecuniary loss and cost of future care should not be regarded as income for purposes of [Child Support Guidelines](#) but that any portion of settlement that addressed loss of income-earning capacity was income for purposes of guidelines — This case, however, was beset with complexities, including fact that this settlement had no clear and defined allotment for loss of income and that payor had made other modifications to plan — Moreover, he spent considerable portion of settlement payments on conveniences to ease his disabilities — Although court did not regard these expenditures as unreasonable, neither did it regard them as necessities, in the sense that they should have priority over his child support obligations — Court's inability to make exact determination on portion of settlement that addresses loss of income-earning capacity does not mean that it cannot make support order — Under these complexities, court should focus on fair result that would serve interests of justice — In this case, it would be fair to resurrect payor's pre-accident agreement that he made for children's support — Although it was out of step with his declared pre-accident income, court had reason to doubt that his tax returns represented complete and full disclosures of his pre-accident earnings — In any event, court had no reason whatever to conclude on evidence that amounts that he volunteered in this agreement were impossible or fictional sums — Court imputed to payor income of \$34,100 after gross up and directed him to name children as secondary beneficiaries to tort settlement structure so as to make provision for their necessities in case of payor's premature death.

STATUTES AND REGULATIONS CITED

[Child Support Guidelines](#), O. Reg. 391/97 [as amended], [subsection 17\(1\)](#) and [subsection 19\(1\)](#).

[Family Law Act](#), R.S.O. 1990, c. F-3 [as amended].

[Income Tax Act](#), R.S.C. 1985 (5th Supp.), c. 1 [as amended].

CASES CITED

Dalton v. Craig (2002), 33 R.F.L. (5th) 63, [2002] O.J. No. 4686, 2002 CarswellOnt 42 (Ont. C.A.).

Dyck (Pregitzer) v. Highton (2003), 239 Sask. R. 38, 2003 SKQB 396, [2004] 8 W.W.R. 265, 111 C.R.R. (2d) 137, 45 R.F.L. (5th) 322, [2003] S.J. No. 600, 2003 CarswellSask 619 (Sask. Q.B., Fam. Div.).

K.(M.) v. S.(R.A.) (2004), 140 A.C.W.S. (3d) 520, [2005] B.C.W.L.D. 4734, [2005] W.D.F.L. 3208, 2004 BCSC 1798, [2004] B.C.J. No. 2930, 2004 CarswellBC 3377 (B.C.S.C.).

Neufeld v. Neufeld (2001), 107 A.C.W.S. (3d) 273, 2001 BCSC 1197, [2001] B.C.J. No. 1682, 2001 CarswellBC 1816 (B.C.S.C.).

Parkes v. Mones (2001), 214 Sask. R. 285, 2001 SKQB 572, 23 R.F.L. (5th) 320, [2001] S.J. No. 777, 2001 CarswellSask 798 (Sask. Q.B., Fam. Div.).

Riel v. Holland (2003), 67 O.R. (3d) 417, 177 O.A.C. 162, 232 D.L.R. (4th) 264, 42 R.F.L. (5th) 120, [2003 CanLII 3433](#), [2003] O.J. No. 3901, 2003 CarswellOnt 3828 (Ont. C.A.).

Glenn C. Walker for the applicants Douglas Harris Zoldy and Jean Aldythe Belle Zoldy
Jonathon M. Quaglia for the respondent Victor Christian Zoldy
Mark A. Shields for the respondent Mary-Lynn Kelley

[1] JUSTICE D.F. KENT:— The main issue in the matter before the court in two actions tried together relates to the question what, if any, part of a structured settlement secured by the respondent as a result of a catastrophic accident may be considered to be or may be imputed as income for the purpose of a child support order under the provisions of the [Family Law Act](#), R.S.O. 1990, c. F-3, as amended. The applicants in one action, each aged 61 years, are the parents of the respondent Victor Christian Zoldy, aged 40, and are guardians of his two sons. Victor Christian Zoldy is in fact is the father of three children:

- Zachary Nathaniel Zoldy, born on 21 November 1989;
- Brendan Douglas Zoldy, born on 6 May 1993; and
- Victoria Winifred Jean Zoldy, born on 27 September 1996

In the second action, Mr. Zoldy is the applicant against the respondent mother of Mr. Zoldy’s only daughter.

[2] The father was granted custody of his sons by an order dated 21 January 1997 that made no provision for accesses by the boys’ mother, who was not a party to these two cases before me, while the respondent, Mary-Lynn Kelley, was granted sole custody of her daughter by an order dated 15 July 1999.

[3] For the purposes of these reasons:

- the applicants in the first action shall be the applicant “grandparents”;
- Mary-Lynn Kelly shall be the respondent “mother”; and
- Victor Christian Zoldy shall be the respondent “father”.

[4] The respondent father had custody of his sons until August of 2001 when he temporarily placed them in the care of his parents and, on 8 August 2001, entered into a written agreement with respondent grandparents to pay \$50.00 per week for the boys’ support. His intent was to have his parents care for his sons while he took a truck driving course. This document, dated 8 August 2001, was prepared in handwritten form without assistance of a lawyer and it is filed as exhibit 6. On or about 24 November 2001, the father was involved in a major motor vehicle accident that caused a spinal injury that resulted in a quadriplegic condition and a severe head trauma involving a brain haemorrhage. He was in a comatose condition for an extended period of time but has recovered, although experiencing some mental impairment that has not been fully defined.

[5] He is now dependent upon a motor-driven wheel chair that he operates through the limited use of one arm. He has been deemed mentally capable of managing his own affairs and does so. He engages in extensive physiotherapy in hope of increased mobility.

[6] The applicant grandparents were granted custody of the boys by a consent order dated 23 April 2002. This order is in final form and is silent on the matter of support. There

was no access to the mother of the boys.

[7] The court received oral evidence from the applicant grandparents of Zachary and Brandon and from the mother of Victoria. The respondent father also gave evidence, as did Peter N.D. Downs, his lawyer in relation to his accident claim. Mr. Downs' very helpful evidence included an explanation of two structured settlements negotiated by him on Victor Zoldy's behalf, their details and the various considerations involved in arriving at their nature and form.

[8] For the most part there were few issues with credibility. Nevertheless, on the whole of the evidence, the court has significant doubts that previous income tax returns filed represent a complete and full disclosure of the father's income prior to the accident. Prior to the accident, the father's employment was of a generally casual nature and included part-time employment as a bouncer, a home repairman as well as work in other service capacities, where his compensation was sometimes cash and, at other times, material goods.

[9] He was, in this way, able to live independently, supporting himself for periods of time but occasionally dependent upon public assistance for brief periods.

[10] In these circumstances, when he placed his sons with his parents, acting independently, he proposed support payments of \$50.00 per child or \$ 100.00 per week to be paid on Friday of each week. This amount was reflected in the agreement, which he entered into with his parents.

[11] Counsel have proposed that, if one were to consider the [Child Support Guidelines](#), O. Reg. 391/97, as amended, this would suggest an income in the range of \$28,800.00, rather than the amount of \$12,467.62 declared in his 2001 income tax return. His credibility is not assisted by the fact that he immediately breached his agreement and did not, in fact, make any significant contribution to the support of his children thereafter.

[12] The facts relating to the circumstances with the accident — to the extent that they are known, since the father has no memory of the accident — are not an issue, nor are the terms of the eventual settlement reached.

[13] Peter Downs is a litigator with extensive experience in the creation of structured settlements for his clients. Considerations influencing the nature of the structure include the circumstances of the accident which influence the possibility and the extent of the recovery as did the degree of the disability and prior and present circumstances of his client, including his interests and abilities.

[14] A car in which the respondent father was riding was driven by a male acquaintance and was occupied by three passengers, including Mr. Zoldy. Prior to the accident, which occurred in the early morning of 24 November 2001, the group had visited three bars in the area after an afternoon of drinking that began about 3:00 or 4:00 o'clock of the previous afternoon. There appears to have been some drug use as well.

[15] The driver lost control on a curve resulting in a single-car accident in which the

occupants, none of whom was wearing a seatbelt, were ejected and suffered injuries. The respondent father suffered the most serious injuries, which are described in a medical report at exhibit 1, tab 4. Although his spinal injury was catastrophic, his brain injury at that point is described as moderate to severe. When he emerged from the comatose state, which was the immediate effect of the event, he engaged in therapy and was adjudged competent and thereafter took charge of his litigation and immediately gave instructions for the conduct of litigation and, as well, in relation to the settlement arrived at.

The Form of the Settlement

[16] Mr. Downs explained that the arrangement that ensued was composed of two parts:

1. arising from the no-fault insurance provisions of the law; and
2. the balance of his claim.

Mr. Zoldy's own insurance claim involved benefits such as rehabilitation benefits, income replacement benefits (where applicable) and attendant care benefits. The second claim involving the insurance accessed through the "at-fault" driver is an overall claim in which the insurer gets credit for what is paid by the accident victims benefits under the no-fault provisions.

[17] Exhibit 3, tab 2, at pages 8 to 10, sets out the first category. This included a "non earner" benefit but no income-replacement benefits since his counsel was unable to prove that the respondent had worked 26 or more weeks in the preceding 52 weeks because of lack of documentation. Mr. Downs explained that the non-earner benefit is paid where, as in the case of the respondent, he is, as a result of the accident, completely unable to carry on a normal life. This is described as an economic loss payment. Mr. Zoldy did not qualify for Canada Pension Benefits. The amount paid in this category was \$100,000.00.

[18] The next category is \$450,000.00, which was paid for medical benefits, which is intended to cover medical expenses not covered by the Ontario Hospital Insurance Plan, such as drugs and therapies.

[19] A third category is rehabilitation benefits including vocational consultation and other rehabilitation expenses totalling \$100,000.00.

[20] A fourth category is for attendant care required, which includes house keeping and home maintenance. Its total is \$650,000.00

[21] The total shown in this statement is \$1.3 million in addition to other payments of approximately \$400,000.00 paid earlier to a total of approximately \$1.7 million or \$1,673,192.32 as shown in exhibit 1, tab 3.

[22] The earlier payments covered expenses in areas such as the above and for a case manager who submitted expenses to the insurer prior to the settlement. These payments included non-earner payments of \$185.00 per week commencing 6 months after the accident and continuing to age 65 at which point they would have continued to age 65. These

payments however, were commuted to \$100,000.00 in total in the settlement.

[23] Upon reaching the settlement, the respondent father becomes responsible to pay any expenses in the categories described.

[24] Mr. Downs explained that the structured settlement such as this was essentially an annuity but differs from usual annuities in that a provision in the [Income Tax Act](#), R.S.C. 1985 (5th Supp.), c. 1, as amended, exempts this form of annuity arising out of personal injury accidents from income tax. Payments made thereunder are not taxable. From this category, the respondent father was entitled to receive \$8,000.00 per month tax-free increasing by 2% each year so long as he lives.

[25] Mr. Downs explained that his client, Mr. Zoldy, however, had elected to receive a greater amount of \$8,659.00 per month for 4 years to pay attendant-care expenses that he anticipated. He also anticipated that, when the payment reduced in 5 years, the difference between what he needed and the payment in which he would receive would be taken up by the proceeds of the tort settlement. Mr. Downs explained another aspect the settlement arrived at as follows. Since the insurer had the possibility of recouping part of its payment should the father not survive for 5 years, the funds remaining would not be paid to his estate but would return to the insurer. In this respect, no attention was given to proving a possible benefit for his children. The statement of claim in relation to the tort claim is filed as exhibit 3, tab 2, page 24, being a claim on behalf of several of members of the Zoldy family, including the plaintiff grandparents. The settlement direction resulting is filed as exhibit 1, tab 3, which shows that, in addition to the respondent, each of the children was to receive \$10,000.00, which has now been paid into court for them to be paid out at the age of 18 or paid out for their maintenance sooner, subject to approval of the court. The applicant grandparents were paid \$45,000.00.

[26] The remainder of the settlement flows to the respondent Mr. Zoldy in the form of advances of \$50,000.00 paid in August of 2003, further advances of \$75,000.00 and \$50,000.00 with the balance being \$303,055.00 paid to Mr. Zoldy for total of \$764,611.40. The remainder, which fell into the structured settlement, was \$967,113.39 for a total payment on the tort claim of \$1,454,611.40 to the respondent in addition to certain expenses, legal fees and related expenses.

[27] The form of the second structured settlement is filed as exhibit 2, brief 2, tab 7, page 8. The structure is such that payments are to commence in the future when the father reaches age 42. There is an additional provision similar to that in the first structure, providing that, should the respondent die before reaching age 46, the balance remaining after the payments would be paid to his estate but not thereafter. Payments hereunder are to be \$8,000.00 per month indexed at 2% per annum.

[28] The intent of the delay in payment is that the second structured settlement would maintain the father's income as the first structured settlement reduced and thereby ensure no interruption in the flow of payment to the respondent.

[29] As noted previously, the amount of the payment resulted from assessments of the future care costs for the father, mitigated by the practical considerations of his claim and the actuarial calculation of his life expectancy.

[30] Factors mentioned by Mr. Downs in arriving at the particular form of the settlement included a wish by the father to make his own decisions about what he needed or, in the words of Mr. Downs, “he wanted to decide everything”. This included whom he hired to do what and how much they were to be paid. One major decision made by the father was to construct a new home especially designed to meet his needs.

[31] Another relevant consideration was that the actuary completed his report using an assumption that Mr. Zoldy was earning \$65,000.00 per annum in 2004, a salary based on an estimate of the earnings of a person licensed to drive a truck carrying hazardous material. There is, however, little support for this assumption beyond Mr. Zoldy’s former intent to complete training to this end. Mr. Downs was less than confident that he could have supported the claim for loss of earning capacity in this range at trial. He concluded that, practically, he could have expected to achieve no more than \$500,000.00 rather than the sum of \$1,252,000.00, which would be supported by a loss of future wages in the range of \$65,000.00.

[32] The factor of contributory negligence was another major consideration for Mr. Downs’ advice in relation to the settlement made, since both Mr. Zoldy and his driver were drinking and other factors, such as the possible use of drugs and the failure to use seatbelts, reduced the likelihood of full recovery. Mr. Downs added in relation to Mr. Zoldy’s wishes that:

Victor wanted this settlement because he wanted to control his life. Victor is an intelligent man and I think he wanted to have control for the years he had left and he wanted to get on with his life and he knew the risks . . .

[33] On cross-examination, Mr. Downs conceded that, in fact, the father could expect to pay substantially less than the cost of his personal care, which were assumed, for the purposes of assessment, at \$8,000.00 per month. He estimated that the actual or necessary costs would be more in the range of \$6,000.00 per month. On the other hand, it appears on the evidence that for whatever reason, the father reports expenses substantially in excess of \$8,000.00 per month.

[34] Ultimately, it was clear that, if the expenses were in this range, they were being made out of the capital that Mr. Zoldy has received, less the cost of his house and trailer, his automobile and other discretionary purchases. It is clear, on all the evidence that, in addition to these expenditures, Mr. Zoldy could also have chosen to make expenditures to assist the grandparents and mother to care for his children, but has not chosen to do so. The father was asked about these aspects on cross-examination and he conceded that, if his daughter lived with him, he would support her and provide for all her needs. He stated that, in order to do this, he would, if necessary, re-structure his caregivers.

[35] Mr. Zoldy reported the cost of his new home at about \$356,500.00.

[36] In his evidence, Mr. Zoldy displayed a lack of appreciation of his financial circumstances and agreed that some of his discretionary spending had the potential to impair his future obligations under various provisions of the [Child Support Guidelines](#):

17. Pattern of income.—(1) If the court is of the opinion that the determination of a parent's or spouse's annual income under section 16 would not be the fairest determination of that income, the court may have regard to the parent's or spouse's income over the last three years and determine an amount that is fair and reasonable in light of any pattern of income, fluctuation in income or receipt of a non-recurring amount during those years.

. . .

19. Imputing income.—(1) The court may impute such amount of income to a parent or spouse as it considers appropriate in the circumstances, which circumstances include,

- (a) the parent or spouse is intentionally under-employed or unemployed, other than where the under-employment or unemployment is required by the needs of any child or by the reasonable educational or health needs of the parent or spouse;
- (b) the parent or spouse is exempt from paying federal or provincial income tax;
- (c) the parent or spouse lives in a country that has effective rates of income tax that are significantly lower than those in Canada;
- (d) it appears that income has been diverted which would affect the level of child support to be determined under these guidelines;
- (e) the parent's or spouse's property is not reasonably utilized to generate income;
- (f) the parent or spouse has failed to provide income information when under a legal obligation to do so;
- (g) the parent or spouse unreasonably deducts expenses from income;
- (h) the parent or spouse derives a significant portion of income from dividends, capital gains or other sources that are taxed at a lower rate than employment or business income or that are exempt from tax; and
- (i) the parent or spouse is a beneficiary under a trust and is or will be in receipt of income or other benefits from the trust.

[37] In requesting that the court impute income from the settlements to the father for the purposes of a support order, counsel for the grandparents and the mother rely upon, among other things, the provisions of [section 19](#) of the [Child Support Guidelines](#), above, and particularly that the court may impute income. It would appear that there is limited guidance in the case law for the court in applying these guideline provisions to the circumstances in this case. Counsel suggests that there are uncertainties if not inconsistencies in what law exists.

[38] Some decisions may assist by analogy. The case of [Riel v. Holland](#) (2003), 67 O.R. (3d) 417, 177 O.A.C. 162, 232 D.L.R. (4th) 264, 42 R.F.L. (5th) 120, [2003 CanLII 3433](#), [2003] O.J. No. 3901, 2003 CarswellOnt 3828 (Ont. C.A.), stands for the proposition that the

list of categories recited in [section 19](#) is not exclusive and thus offers support for any difficulty in fitting the present circumstances into any of those listed categories. The case of [Neufeld v. Neufeld](#) (2001), 107 A.C.W.S. (3d) 273, 2001 BCSC 1197, [2001] B.C.J. No. 1682, 2001 CarswellBC 1816 (B.C.S.C.), was cited as authority for imputing income where a compromise settlement did not specifically allocate any portion thereof to lost earning capacity. It is clear in that case, however, that there was a substantial loss of earnings. The court in this case did attribute income using as a relevant circumstances what the earning level of the (potential payor) “would have been had he continued his occupation without the disabling injury”. On the other hand, in the case of [Parkes v. Mones](#) (2001), 214 Sask. R. 285, 2001 SKQB 572, 23 R.F.L. (5th) 320, [2001] S.J. No. 777, 2001 CarswellSask 798 (Sask. Q.B., Fam. Div.), in similar circumstances, Justice Frank G. Dickson stated at paragraph [13]:

[13] However, consistently drawing down \$10,000 a year from a capital asset may well be regarded as deriving a significant portion of income from other sources, *i.e.*, a capital fund not subject to tax. It is a sum of money available for spending or saving, as the father may choose. . . . It is incorporated into a fund used to satisfy his needs. Evidently, that fund exceeds his needs. . . . Consequently, the annual draw down of capital of \$10,000 should be considered as income for the purpose of calculating his Guideline child support obligation.

[39] That case, of course, is unlike the one before us in that there does not seem to be the extent of uncontested personal need that exists in this case. In attributing the income, the amount was, however, grossed up since, as in this case, this part of the income did not attract income tax. This approach was also followed in [Dyck \(Pregitzer\) v. Highton](#) (2003), 239 Sask. R. 38, 2003 SKQB 396, [2004] 8 W.W.R. 265, 111 C.R.R. (2d) 137, 45 R.F.L. (5th) 322, [2003] S.J. No. 600, 2003 CarswellSask 619 (Sask. Q.B., Fam. Div.), which principally involved constitutional issues in the case of a disabled person. However, in considering the guidelines, Justice Irving Goldenberg stated at paragraphs [22] *sqq*:

[22] In my opinion, ultimately it cannot be said that, because the table amounts of the Guidelines are based on data respecting “average” persons, the Guidelines fail to consider the already disadvantaged position of disabled persons in Canadian society resulting in substantively differential treatment for parents with disabilities and those without. Although it is undoubtedly true that people with disabilities have crucial expenses that able-bodied persons do not, the undue hardship section of the Guidelines permits courts to take these kinds of factors into account in determining the amount payable. Accordingly, there is no substantial differential treatment based on ability. Therefore the constitutional argument as advised by Darcy fails and the application in that regard is dismissed.

. . . .

[24] I must first look to the matter of Darcy’s income. He receives Canada Pension Plan disability benefits of \$7,096.46. This is taxable. Arising out of the automobile accident, he receives annuities of \$27,798.58. It is tax exempt. On the basis of what is before me, I impute income to Darcy in the amount of the annuities. ([Parkes v. Mones](#), 2001 SKQB 572, 214 Sask. R. 285 (Q.B.)). Accordingly, I find Darcy’s annual income to be \$34,895.04.

. . . .

[29] I do not see the issue before me as being an attempt to reduce

maintenance payments. Rather, it is a question as to whether income should be imputed. I am of the view, like Beames J. in *Primrose v. Hanlon*, that this is not an appropriate case for the imputation of income to a payor who is exempt from paying federal or provincial income tax, as is permitted, but not mandatory, pursuant to the Guidelines. Accordingly, child support payments should be based on the petitioner's annual income, without imputation of additional income.

[40] In that case, the court was able to find the personal care expenses justifiable and did find undue hardship. In the end, the court ordered support and in accordance with the guideline amount for a reduced income after applying the considerations. Counsel for Ms. Kelley pointed out that, had the father simply received the total amount of the settlements at 2.5 million dollars and had purchased an annuity from which he would have had declared income in the range of \$125,000.00 per year, it would undoubtedly result in a support order even allowing for relief related to his extraordinary special needs. Counsel argued from this that both the guidelines and the decision of the Ontario Court of Appeal in [Riel v. Holland](#), above, are authority militating against a different treatment (for this payor) arising from the choice of income from these structured settlements over other income from a taxable source such as annuity payments and urged this approach as a means of providing more consistent treatment of individuals than is apparent to date in the case law. In a somewhat simplified example, counsel for Ms. Kelley pointed out that, if Mr. Zoldy were to live to age 60, his age expectancy, he would have received \$1.14 million dollars on the no-fault portion of the settlement upon a payment in of \$771,000.00 for a total earned income of \$369,000.00 or \$15,388.00 per year. Similarly, the tort structure produces an income of \$34,963.00 for a total from both of \$50,324.64. In [M.K. v. R.A.S.](#) (2004), 140 A.C.W.S. (3d) 520, [2005] B.C.W.L.D. 4734, [2005] W.D.F.L. 3208, 2004 BCSC 1798, [2004] B.C.J. No. 2930, 2004 CarswellBC 3377 (B.C.S.C.), Justice Catherine A. Wedge considered the cases of [Neufeld v. Neufeld](#), [Parkes v. Mones](#) and [Dyck \(Pregitzer\) v. Highton](#) and distinguished them and stated at paragraphs [32] *sqq*:

[32] . . . An award for non-pecuniary loss is thus intensely personal. It is not made in order to provide an income. It is designed to compensate for non-monetary losses.

[33] Cost of future care, similarly, is designed to ensure that whatever care costs the plaintiff incurs as a result of his or her injuries will be met. This aspect of the award, too, is personal to the plaintiff and his or her needs resulting from the accident.

[34] The issue becomes more clear when considering, by way of example, a plaintiff rendered paraplegic in an accident who requires extensive support in his daily living. If the damages award is received in a lump sum, that plaintiff may choose to use the money received for the cost of future care in any number of ways. He may choose, for example, to purchase a wheelchair-accessible home or a van equipped to accommodate the specific disability, or both. Should that component of a damages award be imputed as “income” under the Guidelines? Should it matter whether the disability was one that was better suited to a lump-sum damage award or a structured settlement providing a steady income stream over many years? In my view, the answer to both questions is “no”.

[35] While the income stream from an annuity put in place to facilitate a structured settlement for non-pecuniary loss and cost of future care may on first consideration appear to be income, in my view, it is not “income” within the

meaning of the *Child Support Guidelines*. It is not “income” determined by using the sources of income described in the T1 General form used by Revenue, as stipulated by s. 16 of the Guidelines.

[36] In my view, the receipt of such payments from a damages award is not caught by s. 19(1)(b) of the Guidelines, which deals with income earned by a spouse that is exempt from federal or provincial income tax. Subsection (b) is based on the assumption that the money received by the payor spouse is truly “income” within the meaning of the *Income Tax Act*, but by virtue of some other legislative provision, the spouse is exempt from paying taxes on it.

[41] Justice Wedge was, however, able to conclude that there was, by the facts of this case, compensation for loss of earning capacity and a provision that he was to receive \$30,000.00 per year gross for loss of earning capacity which, as she noted, was at level at the time of the accident and made an order based on this income. The court further concluded (at paragraph [41]) that there was no evidence to suggest that any of the lump-sum payments was for loss of future earning capacity.

[42] On all of the evidence, I find that a substantial part of the cash payment received by Mr. Zoldy on the settlement was not spent on what could be described as necessities, in the sense that they should have priority over his obligation for child support.

[43] Apart from his support obligations alone, it was not unreasonable for Mr. Zoldy to make a discretionary expenditure for a barrier-free house and perhaps not to ensure a level of landscaping and a level of amenities appropriate to the neighbourhood that he chose. It is also not unreasonable that he required a reliable vehicle, shelter for it and perhaps the purchase of a trailer to move his furniture and equipment. On the other hand, Mr. Zoldy fails to convince the court that many of these expenditures should have priority to child support, at least in part, or indeed payment of the support arrears.

[44] It is, I think, clear as well that the definition in the structured settlement of periodic payments is not income, although acceptance by the income tax authorities is not necessarily binding on the people who are not parties to the agreement. The small settlement for the children and grandparents is seen as discrete and separate.

[45] Counsel have asked the court to clarify the onus among the parties in relation to the issues. There would, in my view, be an onus upon the prospective payor to demonstrate all aspects of the agreement and, in this case, Mr. Zoldy has clearly demonstrated the intention to structure the payment as not income replacement in a manner that would attract tax.

[46] On the other hand, once that onus is discharged, it is necessary that the support claimants demonstrate circumstances that allow the court to impute income. In my view, they have done that, but have presented difficulties in determining what amount should be attributed in a situation somewhat analogous to that in [Riel v. Holland](#), above, where the onus was on the payor to prove that his decision to be under-employed was reasonable. A number of the scenarios presented by counsel by the applicants would result in an imputed income much higher than Mr. Zoldy has or could ever have contemplated receiving, given his age, education, life style and experience prior to the accident. Nothing in the circumstances

leading to the structured settlement leads the court to conclude that there was either an intent or result that made Mr. Zoldy better off financially than he was before. His goal to upgrade his skills was a talking point in the settlement and, although worthy, largely an unrealized intention but the compromise arrived at, by reason of his contributory negligence and other limitations, reduced those expectations. Although counsel on both sides presented a variety of approaches that tended to lead to a specific finding of income to be attributed resulting in a specific amount of support following the guidelines, in my view the circumstances of this case, particularly absent the clear and defined allotment in the settlement for loss of income, do not permit such an approach. It is more than clear that there are so many assumptions based on probabilities that are estimates that it is impossible for the court at this time to make an exact determination. Any determination leading to an attribution must, of necessity itself, be based on an inexact estimate. This is not, however, to say that no finding of support payable may be made if the estimated income is not precise. It is clear from the case law that this is very often the case in an array of circumstances. A number of circumstances are relevant, one of which is, as I have noted, that his reported income before the accident is questionable, and he has in addition been unable to account in part for substantial amounts of the cash that he has received. The court in *Dalton v. Craig* (2002), 33 R.F.L. (5th) 63, [2002] O.J. No. 4686, 2002 CarswellOnt 42 (Ont. C.A.), stated that the interest of justice is served by a fair determination — a principle re-enforced by the approach of the Court of Appeal in *Riel v. Holland*, above, where the court attempted to equate an underemployed person to an employed person in arriving at a fair estimate of his income to be attributed. In so far as it may stand for the proposition at a portion of the settlement not attributed to income replacement being non-taxable cannot be the basis for attribution, I would distinguish the case of *M.K. v. R.A.S.*, above, which was an oral judgment in chambers by the British Columbia Superior Court in which the main point in the decision was the distinction in a structured settlement between the portion received as income replacement and that not so designated. Here, the pre-accident income was substantially less than the attributed income when the total payment was grossed up. In this case, the court limited the order to the income replacement portion, which was closer to the actual previous income earned. There is insufficient information to determine the factors that might be otherwise helpful in this matter. I am more inclined to attempt a fair balance in consideration of previous circumstances of income.

[47] A reason to favour this approach is that it accords with Mr. Zoldy's own acknowledged obligation, which the court finds implicit in the arrangement for payment that he made for the support of his sons, assuming that, at the least, he felt that that was his ability to pay at the time and in recognition of the obligations set out in the guidelines.

[48] There is no reason whatever to conclude on the evidence that this was an impossible or fictional sum. The fact that it was not subsequently paid moreover is consistent only with the unfortunate pattern of his behaviour that he does not and has never accepted his support obligation to the children if they are not with him.

[49] It is fair then, in my view, to impute an income of about \$34,100.00 after gross up.

[50] It is unfortunate that so many of Mr. Zoldy's decisions as to expenditures appear to

be imprudent. This, however, should not be allowed to diminish his obligation. He appears not to appreciate fully the limitations imposed by the compromises that afford a scenario substantially less comfortable than proposed in his “wish list”.

[51] Perhaps a recognition of his responsibilities to his children would assist him to adjust to his circumstances as he said he would do should the child Victoria reside with him.

[52] Needless to say, there is nothing in the evidence to suggest that any of the children should be treated differently. Accordingly on this basis, the income support for the three children shall be fixed at the sum of \$651.00 per month. The support recipients have asked the court to make the order retroactive and, although there is evidence in law to support an order that is retroactive for a prior period, the court can only conclude that to impose such an obligation in any *substantial* way would not only impair Mr. Zoldy’s ability to function, but would affect his ability to pay ongoing support, which, in my view, should have first priority. To a degree, retroactivity could, as well, be reflected in terms of a just result by a further request that the court direct that Mr. Zoldy name the children as secondary beneficiaries to the tort settlement structure for the provision of children’s support necessities in the event of his premature death. Accordingly, there will be a *fixed but moderate* amount on the account of the obligation for arrears. The support applicants have advised the court that they are abandoning their claim for special expenses.

[53] My endorsements then are that, in the matter of Douglas Harris Zoldy and Jean Aldythe Belle Zoldy v. Victor Christian Zoldy:

1. The respondent father shall pay to the applicants for the children Zachary Nathaniel Zoldy (born on 21 November 1989) and Brandon Douglas Zoldy (born on 6 May 1993) the sum of \$434.00, being two-thirds of the guideline amount for three children. The set amount is on an attributed income of \$34,100.00 and is payable on the 15th day of December 2006 and on the 15th day of each month thereafter.
2. The respondent father is to pay \$5,000.00 on account of retroactive child support payable forthwith or in monthly instalments of \$250.00 per month commencing on the 15th day of December 2006.
3. For enforcement purposes, this order bears post-judgment interest at a rate of 3.5% per annum effective from the date of this order. Where there is default in payment, the payment in default shall bear interest only from the date of the default.
4. The respondent father shall execute a binding direction to Sun Life Insurance Company of Canada, naming the children Zachary Nathaniel and Brandon Douglas, together with the child Victoria, as secondary beneficiaries.
5. Costs fixed at \$4,000.00 are payable forthwith by the respondent father to the applicant grandparents.

[54] In the matter of Victor Zoldy, applicant and Mary-Lynn Kelley, respondent:

1. The father, Victor Zoldy, shall pay the sum of \$217.00 for the support of the child Victoria Winnifred Jean Zoldy (born on 7 September 1996), being one-third of the guideline amount for three children. The set amount is on

an attributed income of \$\$34,100.00 and is payable on the 15th day of December 2006 and on the 15th day of each month thereafter.

2. The father Victor Zoldy is to pay \$2,500.00 toward retroactive support forthwith or in monthly instalments of \$125.00 per month commencing on December 15th, 2006.
3. For enforcement purposes, this order bears post-judgment interest at a rate of 3.5% per annum effective from the date of this order. Where there is default in payment, the payment in default shall bear interest only from the date of the default.
4. The applicant father shall execute a binding direction to Sun Life Insurance Company of Canada, naming the child Victoria Winnifred Jean Zoldy, together with Zachary Nathaniel and Brandon Douglas, as secondary beneficiaries.
5. Costs fixed at \$3,500.00 are payable forthwith by the father Victor Zoldy to the mother Mary-Lynn Kelley.